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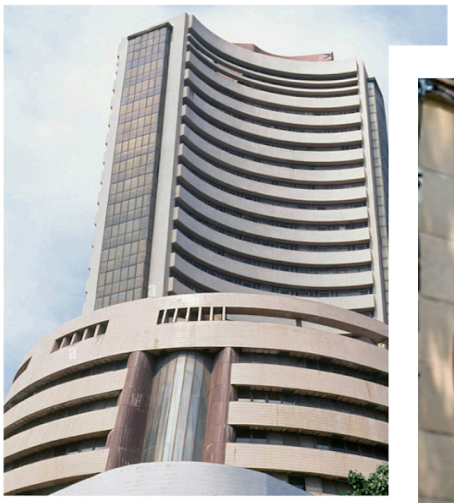
General Knowledge

Indian Economy

STUDY NOTES

Pension System in India



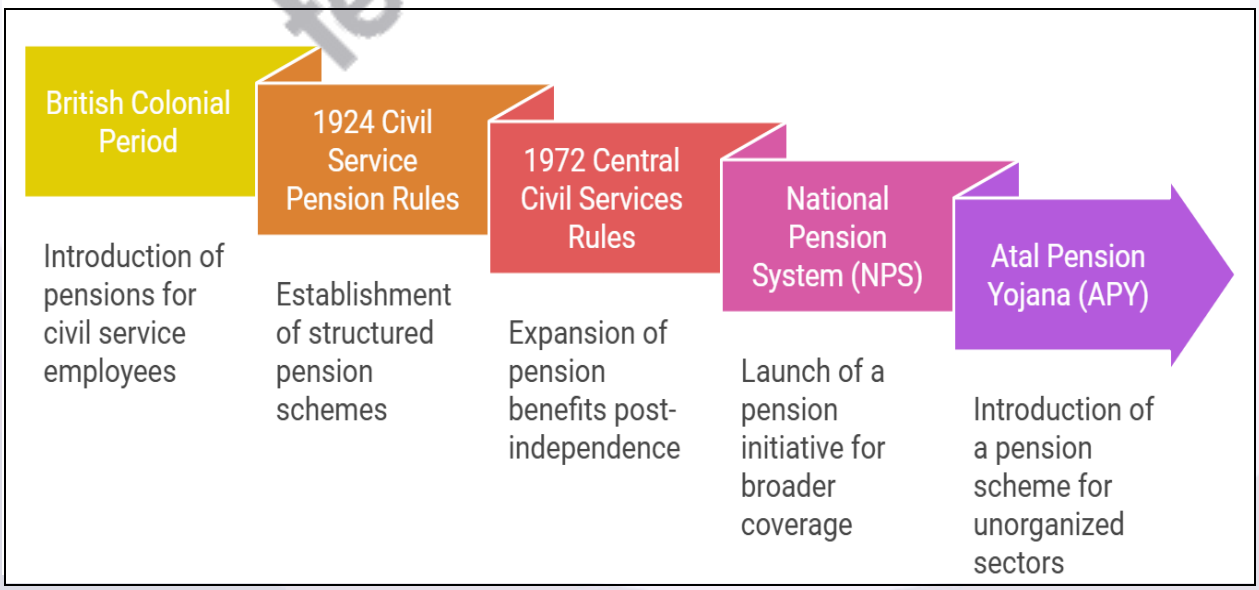
PENSION SYSTEM IN INDIA

Introduction

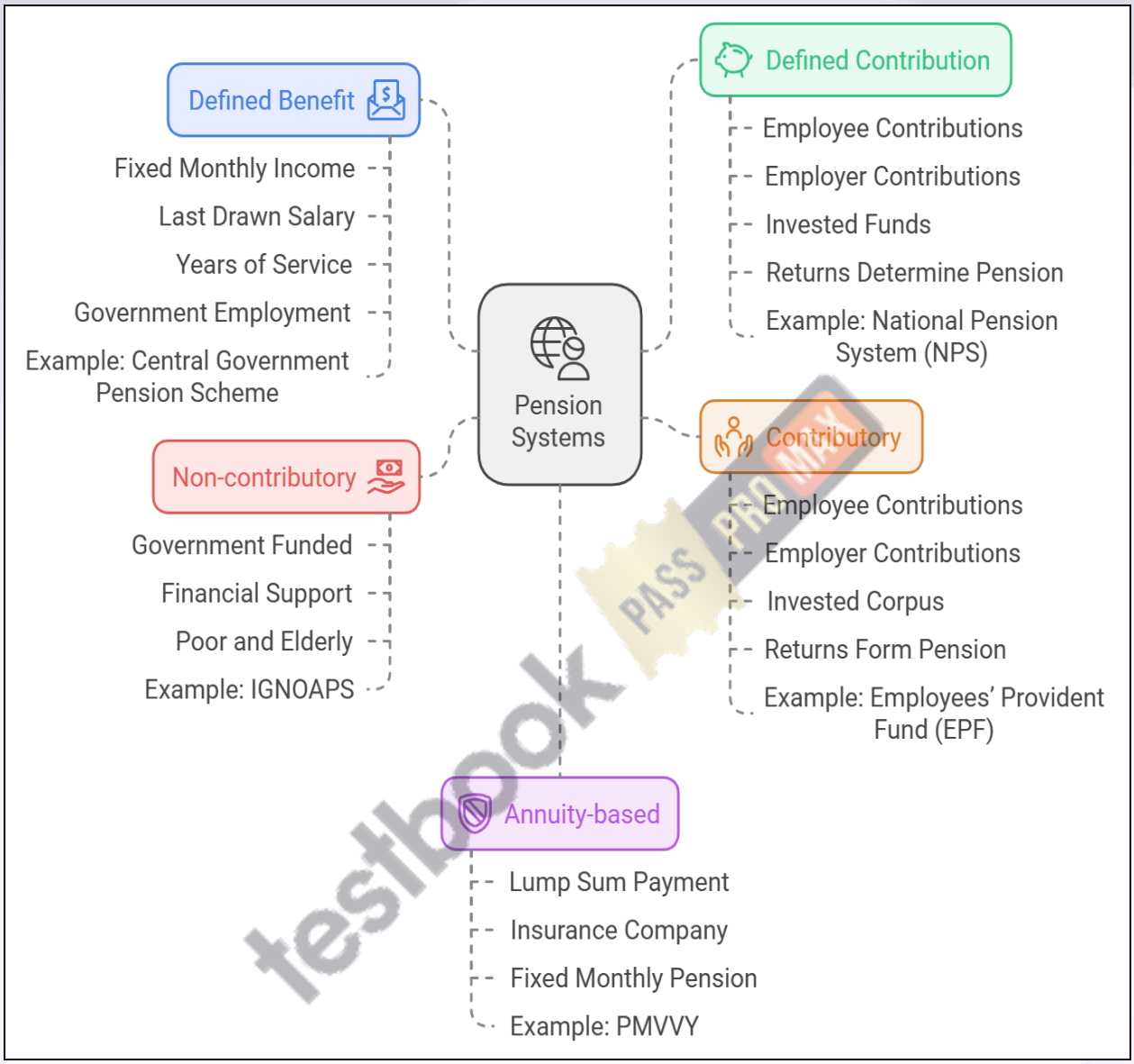
- The **pension system** in India plays a vital role in providing **financial security** and a steady income post-retirement.
- It is especially crucial as life expectancy increases and traditional joint family systems decline, leaving many without support in old age.
- A pension ensures dignity and independence for senior citizens, protecting them from financial hardships during retirement.

History of the Pension System in India

- The concept of pensions in India dates back to the **British colonial period**, primarily for employees in the civil services.
- The **Indian Civil Service Pension Rules, of 1924**, were among the first structured pension schemes introduced in the country.
- Post-independence, the government expanded pension benefits to include its employees under the **Central Civil Services (Pension) Rules, 1972**.
- Over time, recognizing the needs of the unorganized and private sectors, the government launched multiple initiatives, such as the **National Pension System (NPS)** and **Atal Pension Yojana (APY)**.



Types of Pension Systems



Type of Pension Scheme	Key Features	Examples
Defined Benefit Pension Schemes	- Provides a **fixed monthly income** after retirement.	Central Government Pension Scheme
	- Amount depends on the **last drawn salary** and **years of service**.	

	- Commonly used in **government employment**.	
Defined Contribution Pension Schemes	- Pension depends on **employee and employer contributions** during the service period.	National Pension System (NPS)
	- Funds are **invested**, and returns determine the pension amount.	
Contributory Pension Schemes	- Both **employee and employer contribute** to a fund.	Employees' Provident Fund (EPF)
	- Corpus is **invested**, and returns form the basis of pension payments.	
Non-contributory Pension Schemes	- Fully funded by the **government** to provide financial support to the poor and elderly.	Indira Gandhi National Old Age Pension Scheme (IGNOAPS)
	- No contribution is required from employees.	
Annuity-based Pension Schemes	- Individuals pay a **lump sum** to an insurance company.	Pradhan Mantri Vaya Vandana Yojana (PMVVY)
	- Provides a **fixed monthly pension** after retirement based on the annuity purchased.	

OPS vs NPS vs UPS

Old Pension Scheme (OPS)

- Under the Old Pension Scheme, employees are entitled to a fixed monthly pension amount equivalent to **50% of their last drawn salary**, ensuring financial stability after retirement.

- The pension is adjusted for inflation through **Dearness Allowance (DA)**, providing protection against rising costs of living.
- This scheme primarily covered government employees before being replaced by the NPS in **2004 for new recruits**.
- The **Old Pension Scheme (OPS)** is seen as a welfare-oriented scheme, but it has been criticized for creating a significant financial burden on government resources.

National Pension System (NPS)

- NPS provides a **market-linked pension**, where the final payout depends on the **investment returns** of the corpus accumulated during the employee's service period.
- There is no provision for inflation indexation since the pension depends on market performance, making it susceptible to financial market risks.
- NPS is applicable to **all central government employees recruited after 2004** and is voluntary for private sector employees and individuals.
- The **National Pension System (NPS)** was introduced to reduce the fiscal strain caused by OPS while promoting a contributory pension system aligned with global best practices.

Unified Pension System (UPS)

- The UPS guarantees a fixed pension amount of **50% of the average basic pay** of the last 12 months before retirement, ensuring income predictability.
- The pension amount is indexed to inflation based on the **All India Consumer Price Index for Industrial Workers (AICPI-IW)**, ensuring protection against cost-of-living increases.
- UPS aims to strike a balance between the guaranteed benefits of OPS and the flexibility of NPS while addressing financial sustainability.
- The **Unified Pension System (UPS)** is a proposed model aimed at combining the benefits of OPS and NPS, offering **predictable returns with inflation protection**, making it a hybrid solution for long-term sustainability.

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Features	Old Pension Scheme (OPS)	National Pension System (NPS)	Unified Pension System (UPS)
Pension Amount	50% of the last drawn salary.	Market-linked pension with no fixed amount.	50% of the average basic pay from the last 12 months before retirement.
Inflation Indexation	Adjusted through Dearness Allowance (DA).	Not applicable (market-linked).	Indexed based on the All India Consumer Price Index for Industrial Workers (AICPI-IW).
Employee Contribution	No contribution from employees.	Defined contribution of **10% of basic pay and DA**.	Defined contribution of **10% of basic pay and DA**.
Government Contribution	Fully funded by the government.	Defined contribution of **14% of basic pay and DA**.	Defined contribution of **18.5% of basic pay and DA**.
Family Pension	Yes, continues after the retiree's death.	Corpus dependent.	Yes, provides **60% of the employee's pension**.
Risk	No market risk.	Market risk based on fund performance.	Lower risk than NPS.

Key Government Policies and Acts

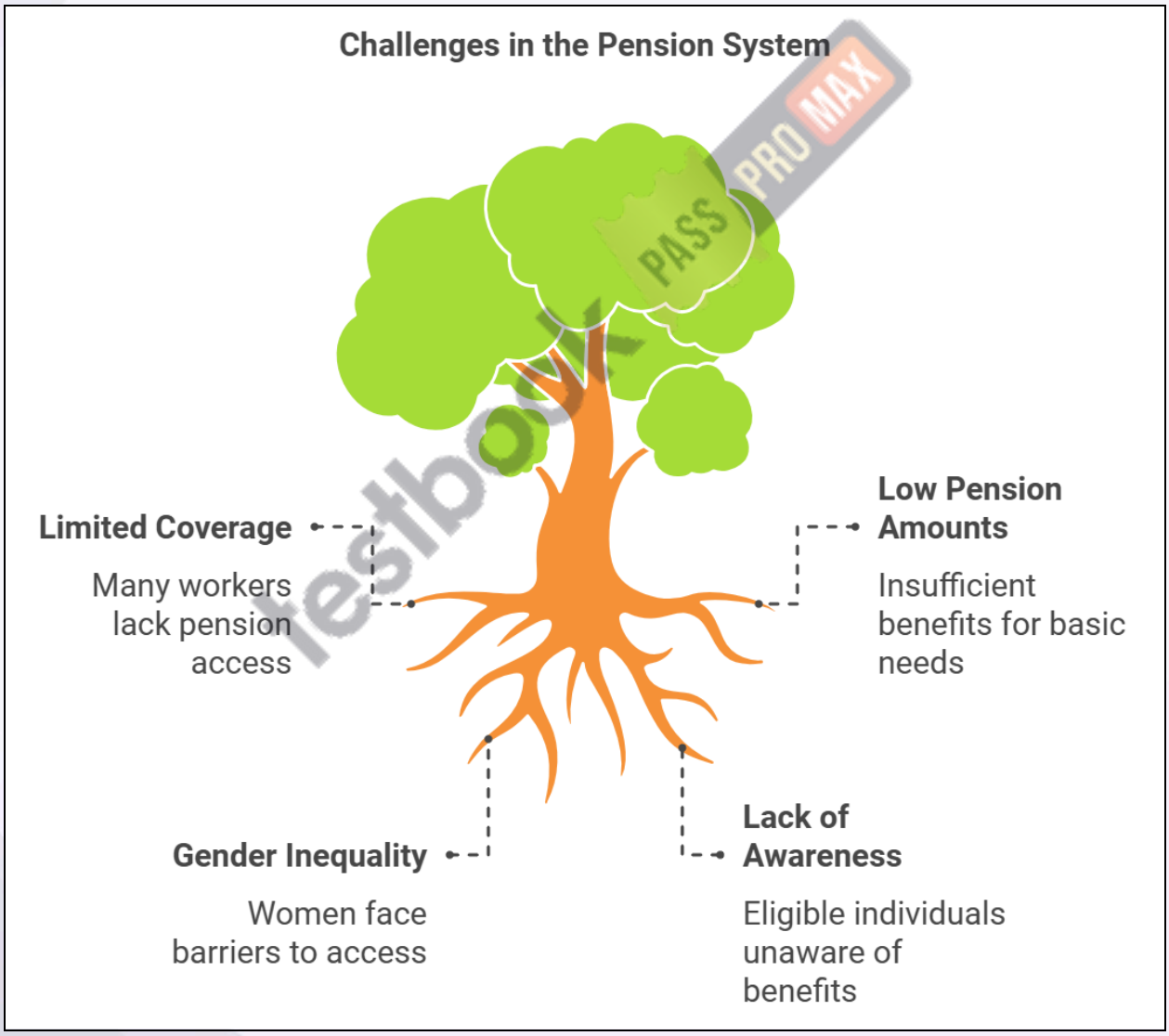
Policy/Act	Key Features	Purpose
Employees' Provident Fund and Miscellaneous Provisions Act, 1952	- Introduced the **Employees' Pension Scheme (EPS)** to provide pensions to organized sector employees.	To ensure post-retirement benefits for organized sector employees.
	- Employer contributions are allocated to the EPS fund.	

Central Civil Services (Pension) Rules, 1972	- Covers **pension benefits** for central government employees.	Provides fixed post-retirement benefits for government employees.
	- Ensures a **fixed benefit** based on salary and years of service.	
Pension Fund Regulatory and Development Authority (PFRDA) Act, 2013	- Establishes a **regulatory framework** for pensions in India.	To regulate and promote pension systems like NPS.
	- Facilitates the **National Pension System (NPS)** for citizens and employees.	
Unorganized Workers' Social Security Act, 2008	- Provides a framework for **pension benefits** to workers in the unorganized sector.	Aims to ensure social security for unorganized sector workers.

Government Schemes Related to Pensions

Scheme	Year of Launch	Target Group	Key Features
Employees' Pension Scheme (EPS), 1995	1995	Employees in the organized sector	- Administered by EPFO. - Provides pensions for financial security after retirement.
National Pension System (NPS)	2004	Initially for government employees; later extended to all citizens	- Allows individuals to invest in **equity and debt asset classes**.

Atal Pension Yojana (APY)	2015	Workers in the unorganized sector	- Offers a **guaranteed pension** of ₹1,000 to ₹5,000 based on contributions.
Pradhan Mantri Vaya Vandana Yojana (PMVVY)	2017	Senior citizens (aged 60 and above)	- Provides a fixed return of **8% per annum** for 10 years. - Managed by LIC to ensure income security for the elderly.
Indira Gandhi National Old Age Pension Scheme (IGNOAPS)	1995	Senior citizens below the poverty line	- Part of the **National Social Assistance Programme (NSAP)**. - Provides financial support to economically vulnerable elderly individuals.
Varishtha Pension Bima Yojana	2003 (relaunched in 2014)	Senior citizens	- Provides a **regular income** through a single premium policy. - Launched by LIC to cater to the financial needs of senior citizens.
Swavalamban Scheme	2010	Workers in the unorganized sector	- Encourages enrollment in the **NPS** with government co-contribution.
Minimum Pension Scheme	2014	Retired employees in the organized sector	- Ensures a **minimum pension** of ₹1,000 per month.
Jeevan Pramaan	2014	Retired individuals	- Enables submission of **Digital Life Certificates** for pension disbursement.
Shram Yogi Maandhan Scheme	2019	Unorganized sector workers earning < ₹15,000/month	- Provides a **monthly pension of ₹3,000** upon reaching 60 years of age.

Pradhan Mantri Kisan Maandhan Yojana	2019	Small and marginal farmers	- Offers a monthly pension of ₹3,000 for farmers aged 60+ with contributions.
Coal Mines Pension Scheme (CMPS)	1998	Workers in the coal mining sector	- Provides financial security to coal mine workers and their families.

Challenges in the Pension System